

Company Overview

Incorporated in 1984, GAIL, a Government of India undertaking, is an integrated natural gas company in India. It owns over 11,500 km of natural gas pipelines, over 2300 km of LPG pipelines, six LPG gas-processing units and a petrochemicals facility. It also has a joint-venture interest in Petronet LNG Ltd, Ratnagiri Gas and Power Pvt Ltd, and in the CGD business in several cities

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	7.4%	12.9%	0.28	23.6	1.07	4360.0
2023	3.8%	8.6%	0.27	28.3	1.35	-4248.0
2022	13.3%	19.2%	0.14	89.5	0.96	3930.0
2021	10.7%	11.6%	0.15	56.3	0.71	4353.0
2020	13.1%	19.3%	0.14	41.5	0.97	46.0
2019	8.6%	14.2%	0.05	73.3	1.11	2283.0
2018	8.8%	11.5%	0.09	29.7	0.89	6109.0
2017	6.9%	8.6%	0.17	14.2	0.83	5690.0
2016	3.6%	5.1%	0.25	6.4	0.88	3056.0
2015	5.2%	9.3%	0.54	10.1	0.87	1405.0

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Qualitative Investment Insights

Strengths (Pros):

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing faster than profits shows expansion of market scale and distribution benefits

Risks & Concerns (Cons):

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility